

Kesko

KESKOB.HE • NASDAQ Helsinki • Grocery Stores • Finland

RECOMMENDATION

BUY

12-month horizon

CURRENT PRICE

20.60 EUR

as of report date

TARGET PRICE

25.92 EUR

12-month fundamental

IMPLIED UPSIDE

+25.8%

vs. current price

MARKET CAP

EUR 8.2 bn

shares × price

ENTERPRISE VALUE

EUR 11.7 bn

mcap + net debt

P/E 2026E

17.7×

EV/EBITDA 2026E

7.2×

FCF YIELD 2026E

6.1%

DIVIDEND YIELD
2026E

4.9%

NET DEBT / EBITDA
2026E

2.1×

RESEARCH SNAPSHOT

The call, the math, and the three reasons why

02

This page is the institutional summary. Read it in 30 seconds — the rest of the report is the supporting evidence.

RECOMMENDATION BUY 12-month horizon	TARGET PRICE 25.92 EUR 12-month fundamental	CURRENT PRICE 20.60 EUR as of report date	IMPLIED UPSIDE +25.8% vs. current price
MARKET CAP EUR 8.2 bn shares × price	ENTERPRISE VALUE EUR 11.7 bn mcap + net debt	P/E · EV/EBITDA 2026E 17.7x · 7.2x forward forecast basis	FCF · DIV YIELD 2026E 6.1% · 4.9%



01 Defensive Grocery Foundation

The defensive Grocery Trade provides a highly stable foundation, leveraging peak market share to generate 418 million euros in recurring EBIT at a solid 6.5 percent margin.

€ 418m EBIT

02 Construction Margin Recovery

A structural recovery in Nordic construction volumes is expected to lift Building and Technical Trade margins from a 3.8 percent trough toward 7.5 percent, expanding group EBIT beyond 760 million euros.

7.5% Target Margin

03 Massive Cash Flow Inflection

Clearing slow moving inventory will spark a massive free cash flow inflection, swinging to a positive 501 million euros in 2026 to rapidly deleverage the 3.38 billion euro net debt.

+€ 501m FCF

THESIS BREAKER

A collapse of the Finnish retail equilibrium into an irrational price war that permanently resets Kesko's premium grocery margins.

SHARE PRICE DEVELOPMENT

Price trajectory and valuation anchors

03

24+ months of monthly closes with the 12-month target overlaid. Quick facts pull from market data.



VALUE BREAKDOWN · PART 1

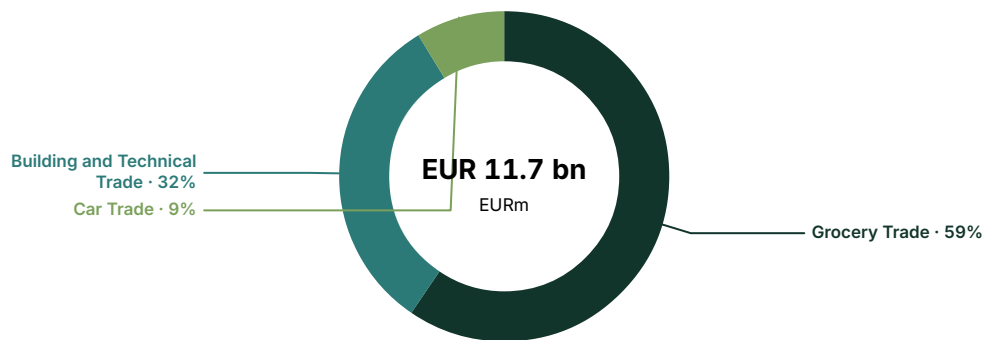
Enterprise - value allocation by value pool

04

Each pool's share of the group's enterprise value, with revenue / EBIT / EV economics.

Enterprise value by pool

EUR millions



SEGMENT ECONOMICS

	REVENUE	REV %	COMP. EBIT	EBIT %	EV	EV %	ARCHETYPE
Grocery Trade	6,447	51.6%	418	61.5%	6,934	59.4%	Profit engine
Building and Technical Trade	4,686	37.5%	179	26.3%	3,703	31.7%	Profit engine
Car Trade	1,365	10.9%	83	12.2%	1,033	8.9%	Profit engine

VALUE BREAKDOWN · PART 2

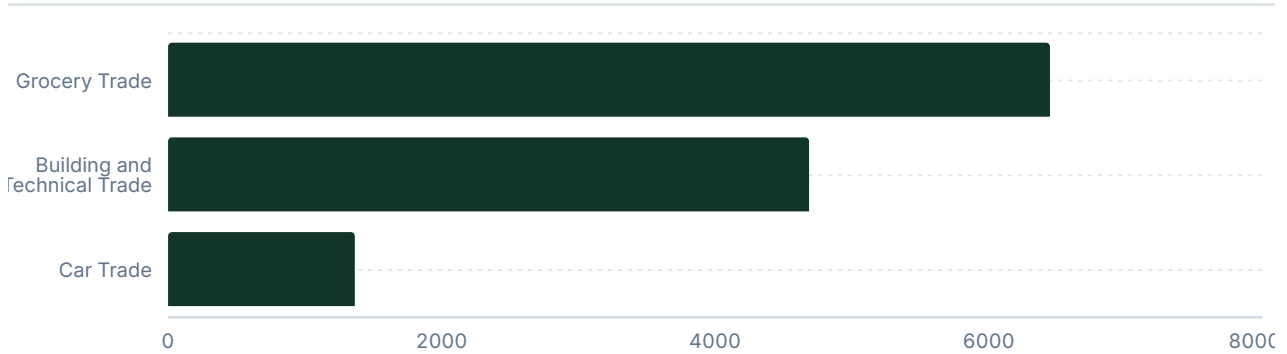
05

Net sales and EBIT by pool

Two horizontal bar charts showing where revenue and earnings actually come from.

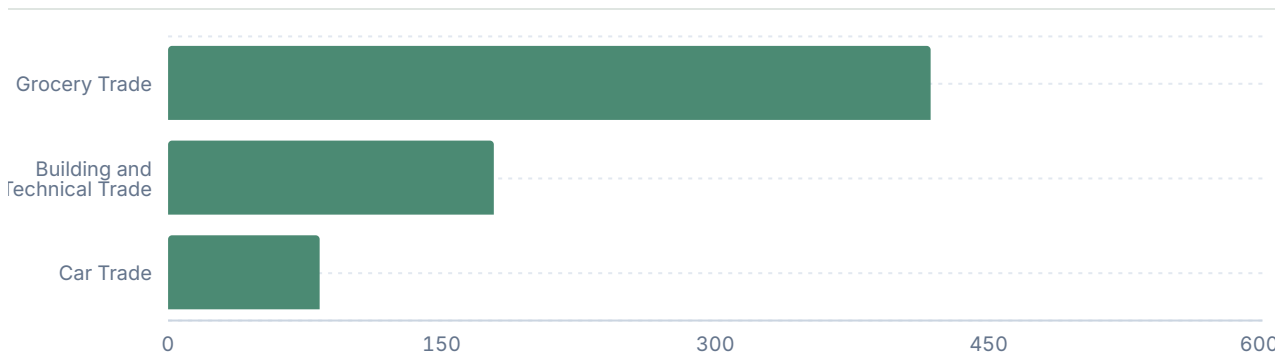
Net sales by pool

EUR millions, latest reported



Comparable EBIT by pool

EUR millions, latest reported



INTERPRETATION

The market prices Kesko effectively as two distinct engines: a premium-valued Grocery division that anchors the group's cash flow stability, and a cyclically depressed Building and Technical Trade division valued heavily on the expectation of a structural margin recovery.

RECOMMENDATION

06

Why we land on the call we do

The supporting prose, the rating decision, and the three load-bearing reasons.

Kesko's €8.20 billion equity capitalization, supporting an €11.67 billion enterprise value and €3.38 billion in net debt, requires defending peak grocery margins while executing a structural construction recovery. Group €680 million comparable EBIT is heavily anchored by €418 million in recurring grocery profits, subsidizing depressed B2B operations.

To catalyze an equity re-rating, Nordic construction volumes must inflect, driving Building and Technical Trade (BTT) margins from a 3.8% trough to a 6.5% normalized rate, subsequently expanding group EBIT beyond €760 million by 2027 to accelerate balance sheet deleveraging.

The core mispricing lies in the duration risk of the Nordic construction cycle, heavily amplified by Kesko's debt leverage. Sustaining >33.0% grocery share while scaling BTT margins to 7.5% drives an equity re-rating toward €25.92 per share.

BUY

TARGET PRICE

25.92 EUR

CURRENT PRICE

20.60 EUR

IMPLIED UPSIDE

+25.8%

12-MONTH VIEW

Kesko presents a compelling upside driven by a normalized construction cycle and sustained peak grocery margins, supporting substantial cash flow generation and balance sheet deleveraging.

MAIN DRIVER

Structural recovery in Nordic construction volumes

MAIN RISK

Structural reset of Grocery margins to 5.5%



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THESIS BREAKER

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CORE ANALYSIS · EXECUTIVE MAP

07

How the company creates economic value

The mental model behind every pool deep-dive that follows.

Kesko operates as a highly diversified Northern European retail and wholesale conglomerate, but its enterprise value is heavily concentrated in its defensive domestic grocery operations. The company generates revenue across three primary value pools: the Grocery Trade, which accounts for roughly half of group sales; the Building and Technical Trade (BTT), which drives nearly 38% of sales through a heavy B2B Nordic footprint; and the smaller Car Trade division.

The €11.67 billion group enterprise value allocation explicitly relies on separating recurring cash generation from temporary cyclical weakness and accounting distortions. Because reported EBIT is materially depressed by one-off and non-cash items, it cannot be used mechanically for valuation allocation. Instead, the analysis relies on the gross comparable segment EBIT of €680 million as the true proxy for recurring operating economics.

Bridging this enterprise value to equity holders requires a strict accounting of balance sheet leverage. From the €11.67 billion enterprise value control total, we must deduct €3.38 billion in net debt and €82 million in other senior claims. The fundamental analytical task is therefore to test whether the Grocery division can sustain its premium margins against aggressive cooperative rivals, and whether the BTT division's path to a 6–8% normalized margin is mathematically viable.

ANALYTICAL ANCHOR

Valuation is primarily anchored by the defensive cash flow of the Grocery Trade, backstopping a high-leverage macro recovery play in Building and Technical Trade.

08

Grocery Trade

Pool deep dive — current_profit_engine.

The market values Kesko's Grocery Trade as a high-quality, defensive, cash-generative asset operating within one of Europe's most consolidated retail markets. Because food consumption is largely inelastic, this division provides the baseline cash flow required to support the group's €3.38 billion net debt load and fund the group's dividend capacity. The valuation premium assigned to this segment—roughly 16x to 17x comparable EBIT—is supported by the division's historical ability to maintain operating margins clearly above 6% even during periods of severe input cost inflation. The market is pricing this business not as an explosive growth asset, but as a permanent, high-return infrastructure asset within the Finnish consumer economy.

The Finnish grocery market is highly concentrated, with a total annual market size of approximately €23.5 billion. It operates effectively as an oligopoly. The market is dominated by the consumer-owned cooperative S-Group, which holds a leading market share of roughly 48%, followed by Kesko at approximately 33.5%, and the German hard discounter Lidl at roughly 10%. The structural demand dynamics are highly stable, driven by steady population parameters and purchasing power. However, the market structure presents a unique economic tension: Kesko operates on a traditional corporate profit-maximization model, while its largest competitor, S-Group, is a cooperative that prioritizes price reinvestment and customer dividends.

Kesko's economic moat relies heavily on its unique K-retailer business model. Unlike S-Group's centrally managed hypermarkets, Kesko's network of approximately 1,100 grocery stores is operated by independent entrepreneurs who have local pricing flexibility and a strong incentive to optimize labor and inventory. This allows Kesko to over-index in high-margin categories such as fresh produce, meat, and ready-to-eat meals, effectively subsidizing the price-matched staple goods necessary to retain footfall against Lidl and S-Group.

To justify an enterprise value of €6.93 billion at a stable ~16x multiple, the segment needs to generate roughly €430 million in recurring EBIT. Given current sales of €6.44 billion, maintaining the existing 6.5% margin immediately satisfies this requirement. The valuation does not require explosive market expansion.

GROCERY TRADE FACT SHEET

CURRENT_PROFIT_ENGINE

MARGIN
6.5%

MARKET POSITION
~33.5% Share

COMPETITORS
S-Group, Lidl

KEY VULNERABILITY
Irrational Price Wars

08

Building and Technical Trade

Pool deep dive — current_profit_engine.

The market is not valuing the BTT division on its current €178.6 million comparable EBIT base. If it were, an enterprise value of €3.70 billion would imply an irrational 20.7x multiple for a capital-heavy, low-growth wholesale business. Instead, the market is pricing in a structural margin recovery. Kesko's stated long-term EBIT margin target for this division is 6–8%. The market believes that the current 3.8% margin represents the absolute trough of the worst Nordic construction cycle in recent history.

The BTT market is functionally split into two sub-segments: technical wholesale (B2B, managed under the Onninen brand) and building/home improvement trade (B2B and B2C, managed via K-Rauta, Byggmakker, K-Bygg, and Davidsen). Kesko has systematically rotated this division away from consumer DIY and toward professional B2B customers, who now account for approximately 80% of sales. The total addressable market is intrinsically linked to housing starts, infrastructure development, and renovation activity.

Kesko's competitive advantage lies in the consolidation of a fragmented market. By combining heavy building materials with advanced technical wholesale (Onninen), Kesko provides a one-stop-shop for large contractors executing complex commercial or infrastructure projects. The recent 2024 acquisition of Davidsen in Denmark gives Kesko a roughly 9-20% market share in various Danish regions, completing its pan-Nordic footprint.

To justify a €3.70 billion enterprise value at a standard 11x–12x mid-cycle multiple, the segment must generate roughly €310 to €330 million in recurring EBIT. Reaching €325 million in EBIT on €5.0 billion of recovered sales implies an EBIT margin of 6.5%. This is mathematically feasible and sits squarely within management's target range of 6–8%, but it cannot be achieved through internal execution alone; it explicitly requires the macroeconomic environment to cooperate.

BUILDING AND TECHNICAL
TRADE FACT SHEET

CURRENT_PROFIT_ENGINE

TROUGH MARGIN
3.8%

TARGET MARGIN
6-8%

GEOGRAPHY
Nordic (FI, SE, NO, DK)

CUSTOMER MIX
~80% B2B

08

Car Trade

Pool deep dive — current_profit_engine.

The market values the Car Trade strictly on current cash flows, applying a lower multiple to reflect the inherent cyclical nature of auto sales and the structural risks posed by the electric vehicle (EV) transition. The division operates as an importer and dealer (K-Auto) representing major brands like Volkswagen, Audi, and Porsche in Finland.

The Finnish auto market is mature and highly cyclical, currently suffering from weak consumer confidence. The core economic tension resides in the aftermarket. Historically, a significant portion of auto dealer profitability is derived from high-margin maintenance, spare parts, and servicing. As EV penetration rises, long-term maintenance frequency and part replacement structurally decline. Kesko is attempting to offset the EV service deficit by scaling its K-Lataus EV charging network, effectively transitioning from a parts-and-service provider to an energy distributor.

CAR TRADE FACT SHEET

CURRENT_PROFIT_ENGINE

MARGIN

6.1%

BRAND REPRESENTATION

VW, Audi, Porsche

TRANSITION FOCUS

K-Lataus EV Charging

CORE ANALYSIS · CROSS-POOL BRIDGE

09

Putting the pools back together

How the parts add up — and where the multiple has to come from.

The financial bridge from the distorted 2025 actuals to the 2026 estimates is driven mechanically by two factors: the normalization of accounting distortions and a mild operational recovery in the construction segment. The reported 2025 EBIT of €411 million and the negative €249 million free cash flow are heavily skewed by non-recurring structural items and adverse working capital movements.

This modest +€23 million operational bridge is almost entirely dependent on the Building and Technical Trade division. The Grocery Trade is expected to maintain stability; any incremental revenue growth will likely be offset by the price investments required to defend market share against S-Group. The Car Trade is expected to remain flat amid a sluggish consumer environment.

The bridge is weakest on the free cash flow line. A €750 million swing to positive €501 million FCF assumes that Kesko has completed the bulk of its heavy acquisition outlays and that working capital tied up in slow-moving BTT inventory will be released as sales velocity increases.

BRIDGE MECHANICS

Bridging from €680m in normalized EBIT to a projected €703m relies entirely on incremental BTT volume throughput as the grocery segment plateaus.

Kesko's valuation construct is heavily dependent on enterprise value allocation rather than unadjusted equity market capitalization, due to the company's significant €3.38 billion net debt position. This debt load—inflated heavily by IFRS 16 lease liabilities tied to its extensive retail and logistics footprint—consumes 29% of the group's total enterprise value.

Under this analytical allocation framework, the Grocery Trade (€6.93 billion EV) serves as the structural foundation, supporting over 80% of the entire equity market capitalization if debt were distributed proportionally. The current comparable EBIT of the Grocery division fully supports this allocation, provided the 6.5% margin is not structurally degraded by competitive price wars.

The valuation tension lies entirely within the Building and Technical Trade division. The €3.70 billion EV attributed to BTT implies that the market is willing to look past the current €178 million in EBIT and price the division on normalized earnings of roughly €320 million.

If the Nordic construction market suffers a structural, permanent downshift rather than a cyclical dip—meaning BTT margins stabilize at 4.5% rather than 6.5%—the segment would only support roughly €2.5 billion in EV. This would blow a €1.2 billion hole in the group enterprise value, which, due to leverage, would erode over 14% of the equity value.

The valuation is therefore highly defensible on current terms, provided the macroeconomic environment normalizes. The market is not pricing in speculative future business models or unproven technologies; it is simply pricing in a return to historical mean margins in construction, backstopped by highly visible grocery cash flows.

CORE ANALYSIS · SCENARIOS & VERDICT

10

Scenario logic and the bottom-line judgment

How the report would look different if the call breaks the wrong way.

The variance across these scenarios is dictated almost entirely by two margin assumptions: Kesko's ability to hold a >6% margin in groceries against S-Group, and the timeline for BTT to reach its 6–8% target margin.

In the downside scenario, the investment thesis breaks if S-Group's aggressive pricing forces Kesko to permanently abandon its premium positioning to retain footfall. If the Grocery EBIT margin resets structurally to 5.5%, segment EBIT drops from €418 million to roughly €350 million. Concurrently, if the Nordic construction cycle stalls, group comparable EBIT would stagnate near €550 million. Applying a blended 14x multiple yields a group EV of just €9.2 billion. The equity value absorbs the entirety of the shock, compressing the share price to roughly €14.

Conversely, the upside scenario requires a synchronized macroeconomic alignment. If interest rate cuts stimulate a rapid Nordic housing recovery, BTT revenues will swell while fixed costs remain flat, propelling the segment margin to 7.5%. In this environment, accelerated free cash flow naturally deleverages the balance sheet, expanding equity value disproportionately to roughly €26 per share.

BOTTOM LINE

The central investment debate surrounding Kesko is whether the company can successfully bridge a deep cyclical valley in construction while defending its highly profitable grocery fortress from price-aggressive cooperatives. The valuation is almost entirely supported by the current cash-generative power of the Grocery Trade and the historically proven mid-cycle earnings capacity of the Building and Technical Trade division.

FINANCIAL BRIDGE · PART 1

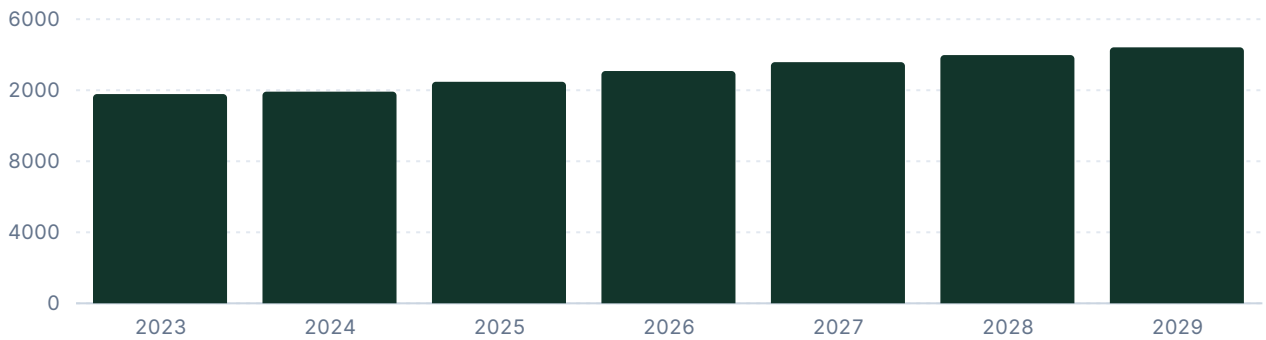
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Net sales, EBITDA / EBIT, EBIT margin

Group-level top-down view. Shaded bands show forecast periods.

Net sales

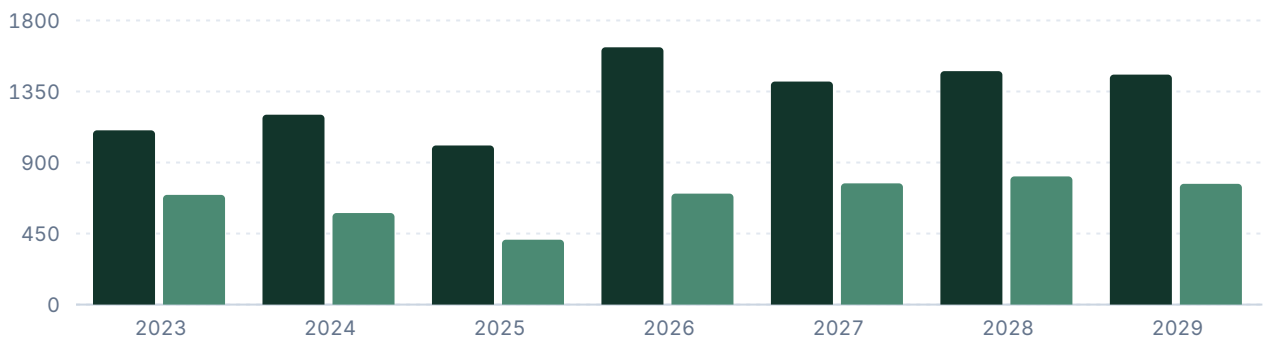
EUR millions



EBITDA & EBIT

EUR millions

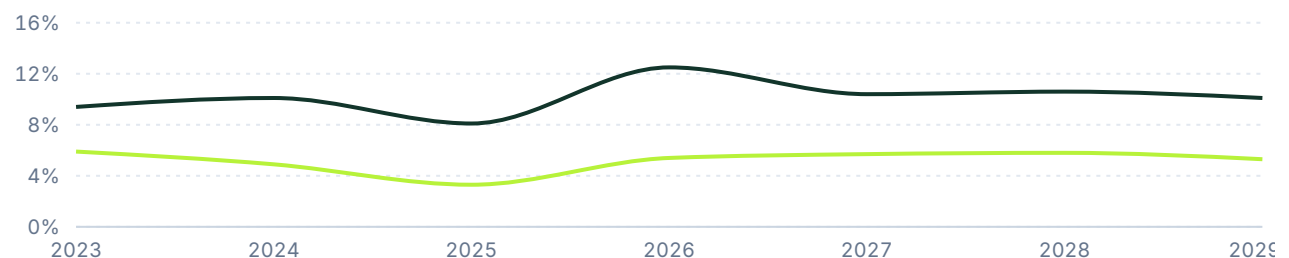
- EBITDA
- EBIT



EBIT and EBITDA margin

% of net sales

- EBITDA margin
- EBIT margin



FINANCIAL BRIDGE · PART 2

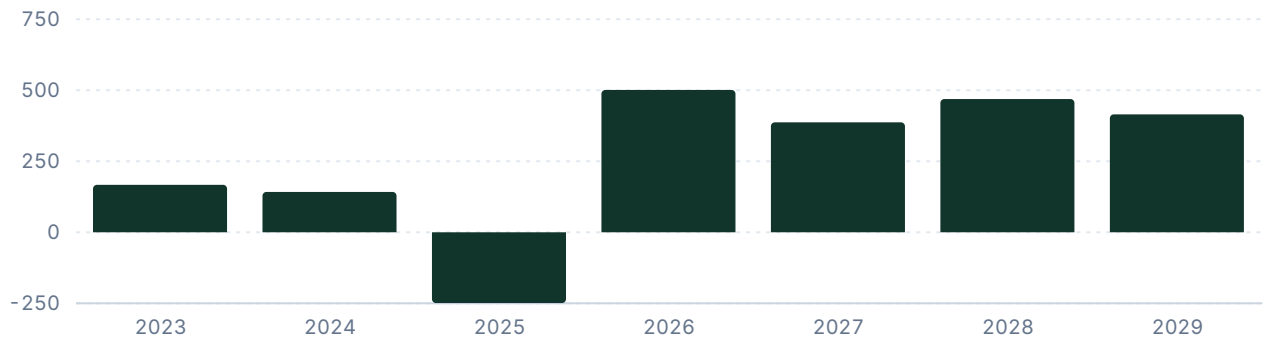
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Free cash flow, leverage, and key financials

Cash generation and balance-sheet capacity.

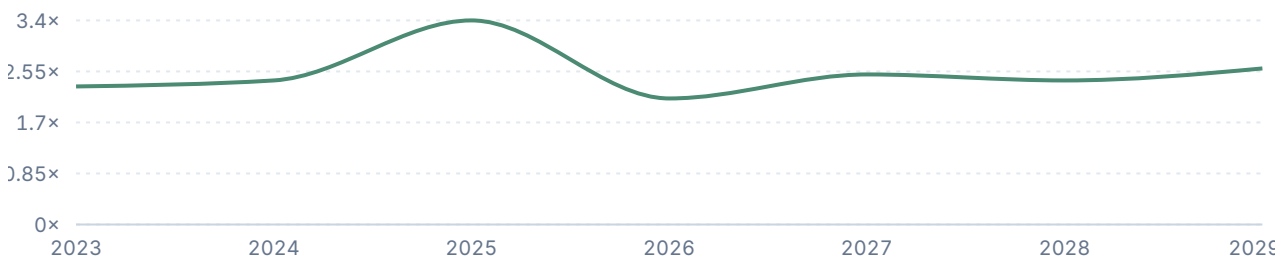
Free cash flow

EUR millions



Net debt / EBITDA

Ratio



KEY FINANCIALS

	2025	2026	2027	2028	2029
Net Sales	12,475	13,082	13,581	13,980	14,415
EBITDA	1,008	1,630	1,413	1,479	1,457
Comparable EBIT	411	703	768	812	765
Net Earnings	405	463	516	551	542
EPS (EUR)	1	1.2	1.3	1.4	1.4
DPS (EUR)	0.9	1	1.1	1.2	1.2

MULTIPLES & SENSITIVITY

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Forward multiples and EBITDA × multiple grid

How the implied value changes when EBITDA and the trading multiple move.

FORWARD MULTIPLES	
	2026
P/E	17.7×
EV/EBITDA	7.2×
EV/EBIT	16.6×
P/FCF	16.4×
P/BV	2.8×
Dividend Yield	4.9%
Net Debt / EBITDA	2.1×

EBITDA × EV/EBITDA sensitivity					
EBITDA EV/EBITDA →	6.0×	6.5×	7.2×	7.5×	8.0×
-20% EUR 1,304m	EUR 7,824m EUR 11.10 / sh	EUR 8,476m EUR 12.70 / sh	EUR 9,337m EUR 14.90 / sh	EUR 9,780m EUR 16.00 / sh	EUR 10,432m EUR 17.60 / sh
-10% EUR 1,467m	EUR 8,802m EUR 13.50 / sh	EUR 9,536m EUR 15.40 / sh	EUR 10,504m EUR 17.80 / sh	EUR 11,003m EUR 19.10 / sh	EUR 11,736m EUR 20.90 / sh
Base EUR 1,630m	EUR 9,780m EUR 16.00 / sh	EUR 10,595m EUR 18.00 / sh	EUR 11,671m EUR 20.70 / sh	EUR 12,225m EUR 22.10 / sh	EUR 13,040m EUR 24.20 / sh
+10% EUR 1,793m	EUR 10,758m EUR 18.50 / sh	EUR 11,655m EUR 20.70 / sh	EUR 12,838m EUR 23.70 / sh	EUR 13,448m EUR 25.20 / sh	EUR 14,344m EUR 27.50 / sh
+20% EUR 1,956m	EUR 11,736m EUR 20.90 / sh	EUR 12,714m EUR 23.40 / sh	EUR 14,005m EUR 26.60 / sh	EUR 14,670m EUR 28.30 / sh	EUR 15,648m EUR 30.70 / sh

SCENARIO VALUATION

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Bear / Base / Bull bridge

Revenue, EBITDA, multiple, EV, equity, value-per-share and upside in each scenario.

SCENARIO BRIDGE

	REVENUE	EBITDA	MARGIN	MULTIPLE	EV	EQUITY	VALUE / SHARE	UPSIDE
Bear	12,400	1,314	10.6%	7.0×	9,198	5,792	EUR 14.54	-29.4%
Base	13,082	1,630	12.5%	7.2×	11,671	8,264	EUR 20.75	+0.7%
Bull	14,000	1,800	12.8%	7.5×	13,500	10,094	EUR 25.34	+23.0%

KEY CONDITIONS

Variance depends entirely on Kesko's ability to hold >6% grocery margins against cooperatives and the exact timeline for Nordic construction to normalize, releasing significant operating leverage.

THESIS BREAKER

A collapse of the Finnish retail equilibrium into an irrational price war that permanently resets Kesko's premium grocery margins.

CATALYSTS

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Monitoring checklist

Near, medium and long-term events that could shift the call.

CATALYST REGISTER				
	TIMING	POOL	INDICATOR	VALUATION IMPACT
NielsenIQ Market Share Data	NEAR-TERM	Grocery Trade	Kesko market share drops below 33.0%	-€2.00/share
Nordic Housing Starts / Permits	MEDIUM-TERM	Building and Technical Trade	Positive inflection in Swedish and Finnish building permits	+€3.00/share
Davidsen Integration Margins	MEDIUM-TERM	Building and Technical Trade	Danish market procurement synergy realization	+€0.50/share
K-Lataus Charging Network Scale	LONG-TERM	Car Trade	Scale exceeds 1,500 charging points	+€0.25/share
READ - THROUGH The most critical short-term catalyst is the monthly and quarterly release of Finnish grocery market share data. Because grocery acts as the valuation bedrock, any uncharacteristic erosion here will violently shift institutional sentiment. For the BTT division, the monitoring priority shifts away from Kesko's internal reporting and toward macroeconomic leading indicators—specifically, Swedish and Finnish residential building permits. The market will price in the BTT recovery 6 to 9 months before it appears in Kesko's P&L.				

RISKS

Risk register

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Each risk's pool, mechanism, early - warning trigger, impact band and structural type.

RISK REGISTER					
	POOL	MECHANISM	EARLY WARNING	IMPACT	TYPE
Irrational cooperative price war	Grocery Trade	Lidl or S-Group forces margin baseline reset to capture footfall.	Market share dips below 33.0%	HIGH	THESIS-BREAKER IF COMBI
Lower for longer construction cycle	Building and Technical Trade	Prolonged interest rate impact strands BTT assets.	Nordic building permits remain negative YoY in H2 2026	HIGH	STRUCTURAL
Davidсен M&A integration failure	Building and Technical Trade	Lack of procurement synergies leaves Davidсен a low-margin regional player.	Danish region EBIT margin stagnation	MEDIUM	MANAGEABLE
EV transition aftermarket deficit	Car Trade	Loss of long-term ICE service revenues is not offset by charging sales.	Declining service bay utilization	LOW	MANAGEABLE
READ - THROUGH The most thesis-breaking risk for Kesko is a structural paradigm shift in the Finnish retail environment. If the current duopoly/triopoly equilibrium collapses into an irrational price war, Kesko's >6% grocery margin baseline will break. The secondary risk is cyclical duration in the Building and Technical Trade division. A 'lower for longer' construction environment strands Kesko's fixed logistics assets and degrades return on capital employed, preventing the cash generation necessary to rapidly deleverage the €3.38 billion net debt position.					

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APPENDIX

Income statement

INCOME STATEMENT — EUR MILLIONS						
	2023	2024	2025	2026	2027	2028
Net Sales	11,784	11,920	12,475	13,082	13,581	13,980
EBITDA	1,104	1,203	1,008	1,630	1,413	1,479
EBITDA margin	9.4%	10.1%	8.1%	12.5%	10.4%	10.6%
Depreciation	-408	-623	-597	-927	-645	-667
Operating Profit (EBIT)	695	580	411	703	768	812
EBIT margin	5.9%	4.9%	3.3%	5.4%	5.7%	5.8%
Net financial items	-82	-108	100	-129	-128	-129
Pre-tax Profit	614	472	510	573	640	682
Net Earnings	496	380	405	463	516	551
PER SHARE						
EPS	1.3	1	1	1.2	1.3	1.4
DPS	1.1	0.8	0.9	1	1.1	1.2
Payout ratio	86.7%	80.7%	91.4%	87.2%	87.2%	87.2%

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APPENDIX

Balance sheet

BALANCE SHEET — EUR MILLIONS						
	2023	2024	2025	2026	2027	2028
ASSETS						
Tangible assets	3,873	4,271	4,661	4,818	5,002	5,148
Intangibles	211	234	213	223	231	238
Goodwill	664	643	722	722	722	722
Non-current assets	5,145	5,603	6,090	6,257	6,449	6,603
Inventories	1,084	1,102	1,204	1,244	1,291	1,329
Receivables	1,299	1,277	1,343	1,300	1,349	1,389
Cash & equivalents	212	473	166	295	306	315
Current assets	2,595	2,852	2,713	2,838	2,947	3,033
Total Assets	7,754	8,471	8,823	9,115	9,416	9,656
EQUITY & LIABILITIES						
Equity	2,758	2,735	2,827	2,917	3,030	3,131
Long-term debt	691	1,054	1,286	1,838	1,904	1,951
Short-term debt	99	291	189	1,839	1,904	1,951
Long-term liabilities	372	681	1,007	1,559	1,625	1,672
Current liabilities	2,556	2,928	2,790	4,537	4,659	4,752
Total liabilities & equity	7,754	8,471	8,823	9,115	9,416	9,656
CAPITAL STRUCTURE & RATIOS						
Net debt	2,575	2,923	3,407	3,382	3,501	3,587
Capital invested	3,336	3,607	4,136	6,299	6,532	6,718
Equity ratio	35.6%	32.3%	32.0%	32.0%	32.2%	32.4%
Gearing	93.4%	106.9%	120.5%	115.9%	115.5%	114.5%
Net debt / FRITDA	2.3x	2.4x	3.4x	2.1x	2.5x	2.4x

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APPENDIX

Cash flow

CASH FLOW — EUR MILLIONS						
	2023	2024	2025	2026	2027	2028
OPERATIONS						
CF from operations	996	1,187	798	1,491	1,121	1,186
Operating cash flow	1,061	1,276	741	1,595	1,225	1,290
Change in working capital	-71	-184	204	-101	40	32
INVESTING & FREE CASH						
Gross capex	868	1,081	1,084	1,094	837	821
Capex (ex. M&A)	-868	-1,081	-1,084	-1,094	-837	-821
Free Operating Cash Flow	167	142	-249	501	387	469
Free cash flow to firm	167	142	-249	501	387	469
FINANCING						
CF from financing	-136	153	-43	-268	-272	-356
Dividends paid	-421	-430	-306	-370	-403	-450
Net change in cash	-9	259	-329	129	11	9

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APPENDIX

Quarterly snapshot

LAST FOUR QUARTERS — EUR MILLIONS				
	Q1/25	Q2/25	Q3/25	Q4/25
Net Sales	2,828	3,189	3,227	3,231
EBITDA	233	321	346	107
EBITDA margin	8.3%	10.1%	10.7%	3.3%
Comparable EBIT	89	178	201	-57
EBIT margin	3.2%	5.6%	6.2%	-1.8%
Net Earnings	48	117	140	100
EPS	0.1	0.3	0.4	0.3

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SOURCES & DISCLAIMER

Sources, assumptions, and standard disclaimer

SOURCES REGISTER			
	VALUE	CATEGORY	USED IN
20.61	20.61 EUR	MARKET DATA	Cover Page & Valuation Scenarios
7.16x	7.16x	MODEL OUTPUT	Multiples & Sensitivities
12,475	12,475 EURm	FINANCIAL SNAPSHOT	Historical Financials
1,630	1,630 EURm	ANALYST-GENERATED ESTIMATE	Forward EBITDA Estimates
1,320	1,320 EURm	CONSENSUS ESTIMATES	Consensus Comparisons
6,934	6,934 EURm	COMPANY VALUE MAP	Grocery Trade EV Allocation
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